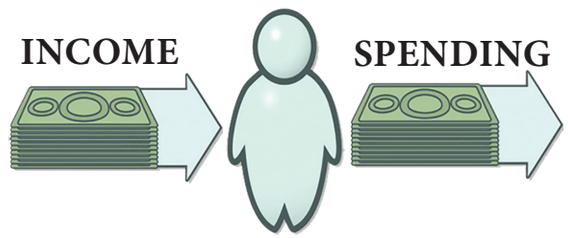
In this chapter one can learn the consumption function, psychological law of consumption, investment function, multiplier, accelerator and super multiplier.

4.2 Consumption Function

4.2.1 Meaning of Consumption Function



CONSUMPTION FUNCTION

The consumption function or propensity to consume refers to income consumption relationship. It is a "functional relationship between two aggregates viz., total consumption and gross national income."

Symbolically, the relationship is represented as

$$C = f(Y)$$

Where,

C = Consumption

Y = Income

f = Function

Thus the consumption function indicates a functional relationship between C and Y, where C is the dependent variable and Y is the independent variable, i.e., C is determined by Y. This relationship is based on the ceteris paribus (other things being same) assumption, as only income consumption relationship is considered and all possible influences on consumption are held constant.

In fact, consumption function is a schedule of the various amounts of consumption expenditure corresponding to different levels of income. A hypothetical consumption schedule is given in Table 1.

Table : 1 Income - Consumption Schedule (₹Crores)

Income Y	Consumption C	Savings S
0	20	-20
60	70	-10
120	120	0
180	170	10
240	220	20
300	270	30
360	320	40

If we take C = 100 + 0.8y, then MPC = 0.8

Here, if Y = 0, C = 100; if Y = 100, C = 180;

if Y = 200, C = 260;

if Y = 300, C = 340

Here, $\Delta c = 340 - 260 = 80$

$\Delta y = 300 - 200 = 100$

$$MPC = \frac{\Delta c}{\Delta y} = \frac{80}{100} = 0.8$$

In mathematical terms

$C = a + b\,Y$ or $C = 20 + 0.8Y$

Where $a>0$ and $b<1$

C= Consumption

a= constant or intercept = 20